

Azure Wings: Airline's Expansion Strategy

In August of 2004, Azure Wings embarked on its journey as a regional carrier in the United States. Throughout the years Azure Wings became the fourth largest airline in the US headquartered in New York and had exhibited remarkable success in the domestic market. It had leveraged strengths such as a brand reputation, high customer satisfaction, and an extensive route network, including key routes from New York to Los Angeles, Orlando, and Dallas. The company had already established itself as an important domestic player in the airline business, boasting a large fleet of 110 aircrafts and in 2024, with COVID-19 pandemic finally behind, was seeking international expansion with the help of one particular employee. Ms. Matilda Harrison joined Azure Wings in May of 2017, marking her initial foray into the workforce after graduating in December of 2016 with a bachelor's degree in business administration from Embry-Riddle Aerospace Academy in Florida. Over the past six years, she demonstrated a steadfast commitment and adaptability within the organization and recently assumed a new role as a head of network development department. As such Ms. Harrison found herself at the forefront of Azure Wings' revived international expansion endeavors after pandemic. She became one of the managers who had been entrusted with presenting an expansion proposal to the upper management in January of 2024, aiming to capitalize on the promising market of Singapore.

The US airline market according to **Figure 1** presented a diverse landscape with several carriers competing for market share. American Airlines and Delta Air Lines commanded respectively 17.5% and 17.3% of the market while United Airlines closely followed with a 15.6% share. On the other hand, Alaska Airlines and JetBlue Airways held relatively smaller market shares of 6.2% and 5.5%. Azure Wings, although not a market leader, had made significant strides

in the domestic market, securing its place as the fourth-largest airline with 8.1% market share. While Delta's brand strength extended globally, Azure Wings had been focused solely on domestic market so far. Azure Wings recognized the allure of major U.S. business hubs and aimed to tailor its services for business travelers, collaborating with renowned establishments like "Culinary Fusion" to enhance the passenger experience. As it started to position itself for global expansion, including venturing into the vibrant aviation market of Singapore, Azure Wings remained committed to offering an aviation experience that seamlessly combines operational efficiency with cultural enrichment.

The SWOT analysis of Azure Wings that can be found in **Table 1** highlighted the company's strengths, including positive customer sentiment and strong brand recognition. The extensive codeshare agreements and alliances further strengthened its market position. On the flip side, Azure Wings grappled with weaknesses such as financial issues, including high debt levels and the impact of overall economic downturns during and immediately after COVID-19. Azure Wings decided to start its international expansion from Singaporean market because during 2017-2019 period alone, right before the COVID pandemic, the number of passengers travelling to this country exhibited a consistent and promising rise, growing from 17.43 million to impressive 19.12 million per year. This positive trajectory hinted at the growing popularity of the route, driven by increased business ties, tourism, and Singapore's emergence as a global hub in the Asia-Pacific region. Despite challenges posed by the COVID-19 pandemic and slow rebound back to pre-pandemic numbers, in 2023 about 11 million people visited Singapore, it had maintained its position as a strong destination for American travelers and many US airlines continued to be present in this market as per **Figure 2**.

Singapore is a dynamic city-state in Southeast Asia, stands as a favorite among global leisure and business travelers. Iconic attractions like the botanical wonderland with meticulously designed Gardens by the Bay, Sentosa Island's adventures, the vibrant streets of Chinatown and little India, as well as sensory delights create a captivating experience for American tourists. Singapore's modern skyline, rich cultural tapestry, and culinary delights contribute to its appeal as a premier destination for leisure and exploration. Singapore's business landscape, spanning technology, finance, and unique retail experiences, adds an enriching dimension to the travel experience. Noteworthy Singaporean businesses with ties to American companies include the technology giant Grab, the global financial institution DBS Bank, culinary establishments like Hawker Chan, known for its Michelin-starred Street food, and retail enterprises such as Charles & Keith and Love, Bonito. As a leading global financial center, professionals, and entrepreneurs frequently flock to Singapore for business meetings, conferences, and networking opportunities. Moreover, the city-state's strategic location makes it an ideal layover destination for passengers traveling between Europe, Asia, and the Americas.

On the other hand, Azure Wings also wanted to suggest tourists and businessmen from Singapore an easy and comfortable way to travel to the United States. For sightseeing enthusiasts, the U.S. boasts a rich tapestry of attractions, from the iconic Statue of Liberty in New York to the natural marvel of the Grand Canyon in Arizona. Families and dream-seekers find enchantment in Disneyland and Disney World, while the allure of Yellowstone National Park's geothermal wonders and wildlife captures the imagination. Beyond its tourist allure, the United States is a magnet for Singaporeans pursuing diverse business ventures. Silicon Valley in California draws professionals from Singapore eager to immerse themselves in the global tech hub, collaborating with industry giants like Apple, Google, and Facebook. In the financial realm, Wall Street in New

York City and Chicago's financial districts offer a gateway to opportunities with major institutions such as JPMorgan Chase and Citibank.

But on this market from Singapore to the US Azure Wings had a strong competition in many local airlines as well. For example, Singapore Airlines (SIA), named as the world's best airline in 2023 by Skytrax, is a paragon of excellence in the aviation world and a synonymous with luxury, offers a 5-star flying experience with spacious cabins, exceptional in-flight services, and gourmet dining. That's why it's not a surprise that Singapore Airlines stood out as the industry leader in its local market as per **Figure 3**, holding a commanding 32.0% share. Despite these challenges and fierce competition, Azure Wings could leverage transit-oriented demand, offering convenient and efficient connections for passengers on long-haul journeys from other Asian destination to the US via Singapore.

Back in 2020, amid the challenges posed by the COVID-19 pandemic, Ms. Harrison's contributions played an important role in managing Azure Wings' operations, leading to promotion and her current managerial position. Demonstrating an ability to analyze complex datasets during the tumultuous period, Ms. Harrison provided insights that guided strategic decision-making. Ms. Harrison's approach played a pivotal role in steering the company away from potential financial pitfalls during COVID-19 pandemic when many airlines struggled to survive. During this very hard time for the industry, she prioritized strengthening connections to major US business hubs, such as redirecting flights to prime destinations like New York, San Francisco, Los Angeles, and Chicago instead of favoring more tourist destinations attractive under normal circumstances.

However, now with the pandemic being in the past as of the beginning of 2024, Azure Wings started to revisit its pre-pandemic expansion plans. To be successful in a new market, Ms. Harrison believed that the headquarters should hire a local handling company in Singapore to

oversee all ground operations of Azure Wings as well as ticketing. This option, from her point of view, had the potential of increasing sales volume through the local agent's superior knowledge and understanding of the market as well as the absence of the language barrier. Ms. Harrison's vision revolved around establishing meaningful connections and striking a delicate balance between operational efficiency and passenger experience. One aspect of Ms. Harrison's strategy involved an understanding of cultural nuances. Recognizing the significance of cultural differences between the US and Singapore as well as different approaches to business negotiations and sales in general, she believed it would be the best decision for Azure Wings to opt for a local handling agent in Singapore. This local insight from her point of view could become an invaluable asset, not only in understanding how business is conducted in the country but also in navigating the intricacies of relationships within the local community. Ms. Harrison came up with the following benefits and costs associated with hiring a local handling agent in Singapore that could be found in **Table 6**.

Another employee who was invited to present in front of the top management was director of international sales, Mr. Richard Blackthorn. And he had a very different idea of how operations in Singapore should unfold. Mr. Blackthorn had over 25 years of experience in the airline business, and he strongly believed that opening an Azure Wings' own office in Singapore would be a much better idea. Colleagues acknowledge his profound experience in the airline business as well as valued his professional opinion and extensive network in the industry. Presently located in Azure Wings' corporate headquarters in New York, Mr. Blackthorn strongly believed that local agents could not do the same quality job as company's representative from the headquarters. He also wanted to become a head of a newly established office in Singapore as he spoke perfect mandarin and had a daughter and son-in-law who had been living in this country for many years. Moreover,

he knew that with such relocation he could receive a 25% increase in salary compared to his current wage. While preparing for the meeting he came up with the following benefits and costs of opening a new Azure Wings' office in Singapore that could be found in **Table 7**. Ms. Harrison was aware of Mr. Blackthorn's position, the stance of the company, and the urgency of the situation. Moreover, they both already agreed that expansion to Singapore was a great move for Azure Wings but had two very different opinions of how it should be done.

On a typical cold January morning in New York, the city found itself cloaked in a pure, foggy, white atmosphere, as if nature itself had laid a blanket of sleet and ice. The wind howled in a shivering rage, echoing through the urban landscape. For anyone else, this might seem like just another workday, however, for Ms. Harrison, this Wednesday was the last day that she was given to prove her idea of hiring a handling company. With presentation scheduled for Thursday, January 11th, 2024, Ms. Harrison perfectly understood that there was absolutely no time to waste. To prepare the most convincing case for hiring local handling agent in Singapore, Ms. Harrison gathered the following information about Azure Wings' risks, cost of both equity and debt financing as well as weighted average cost of capital (WACC) that could be found in **Tables 2-5**. Calculating the WACC in a most correct way was a very important task for her as it represented the blended cost of capital available for Azure Wings and was a key metric to be used while evaluating potential large investments like those of hiring a handling agent in Singapore. These financial metrics and calculations offered a comprehensive view of Azure Wings' financial position, cost structure, and cost of capital, essential for informed investment decision. Ms. Harrison had only one day left to complete all the calculations and finalize her final proposal to the upper management of the airline company. She knew that Mr. Blackthorn would come prepared tomorrow as well and the upper management would receive two proposals structured in

the way outlined in **Table 8**. She planned to stay in the office till late at night and went over all the calculations needed for tomorrow's big day one more time.

Appendix

Figure 1. Main players in the US airline market, %

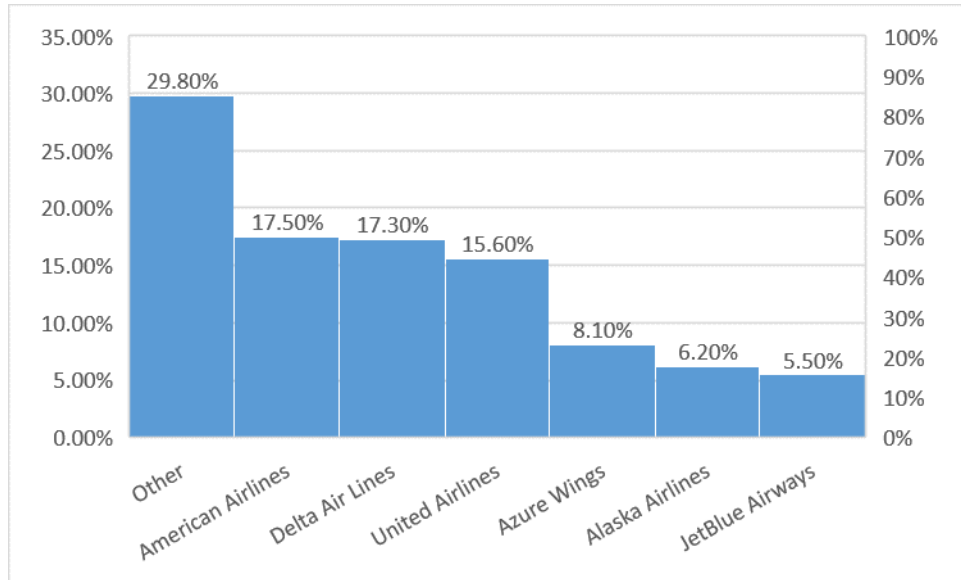


Figure 2. Market share of companies flying to Singapore, %

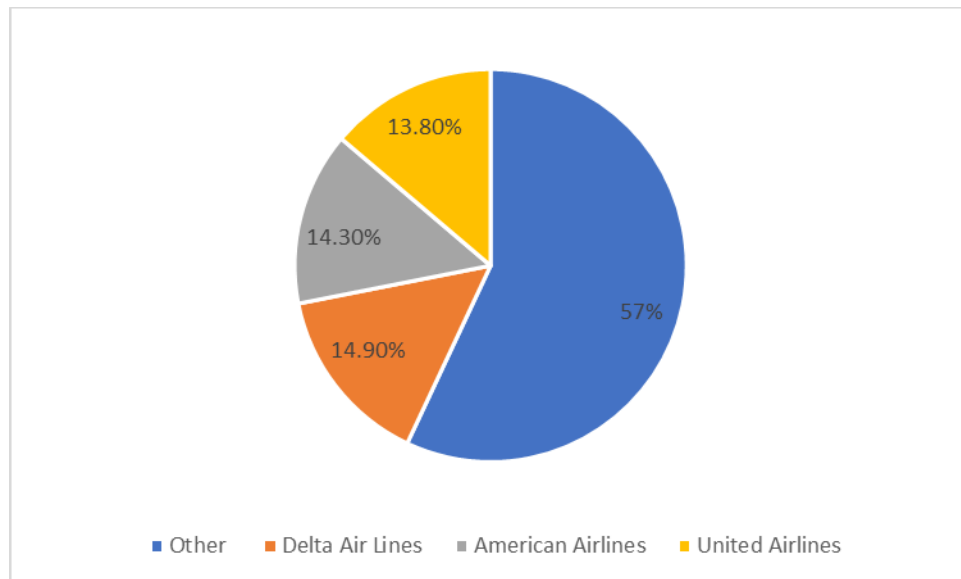


Figure 3. Main players in the Singaporean airline market, %

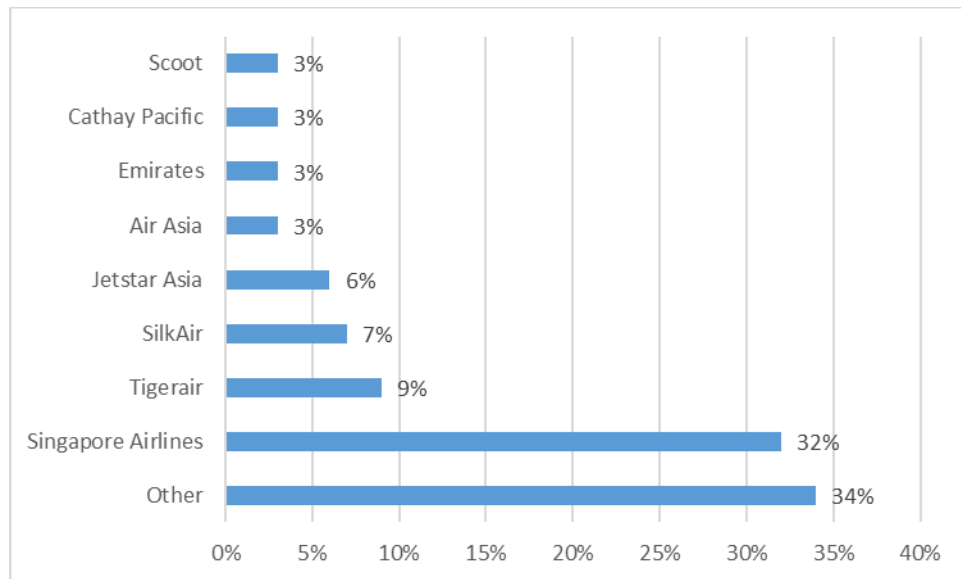


Table 1. SWOT Analysis, Azure Wings

Factors	Azure Wings
Strengths	Strong brand reputation
	High customer satisfaction
	Positive customer sentiment
Weaknesses	High debt level
	COVID-19 impact and recovery efforts
	Environmental law issues (Emissions, Noise)
	Lawsuits involving non-refunds, pricing strategies
Opportunities	International expansion and new routes
	Market expansion through code-sharing agreements
	Strengthening partnerships and alliances
Threats	Geopolitical conflicts (Diplomatic tensions)
	Economic downturns
	Intense competition (Low-cost carriers)
	Decline in domestic passenger bookings

Table 2. Systematic risk, Azure Wings

Variance (S&P 500 index)	20.07
Covariance (Azure Wings common stock, S&P 500 index)	22.67
Systematic risk (β) of Azure Wings common stock	

Table 3. Cost of Equity financing, Azure Wings

Long-Term Composite Rate of U.S. Treasury Securities, %	5.40
Expected rate of return (market portfolio), %	10.50
Systematic risk (β) of Azure Wings common stock	
Cost of Equity (Azure Wings), %	

Table 4. Cost of Debt financing, Azure Wings

Current Bond Price, \$	999.96
Number of Years till Maturity	20
Coupon Rate, %	4.375
Number of Payments per year	2
Par Value, \$	1000
Cost of Debt, %	

Table 5. Weighted Average Cost of Capital (WACC), Azure Wings

Cost of Equity, %	
Cost of Debt, %	
Debt-to-Equity ratio	0.88
Weight of Equity, %	
Weight of Debt, %	
Tax rate, %	24.7
Weighted Average Cost of Capital (WACC), %	

Table 6. Benefits and Costs for Hiring Handling Agent (forecast)

	Handling Agent
Investment, \$	-\$1,560,000.00
Cash Flow year 1, \$	\$396,080.00
Cash Flow year 2, \$	\$487,600.00
Cash Flow year 3, \$	\$579,120.00
Cash Flow year 4, \$	\$670,640.00
Cash Flow year 5, \$	\$752,160.00

Table 7. Benefits and Costs for Opening New Office (forecast)

	New Office
Investment, \$	-\$1,400,000.00
Cash Flow year 1, \$	\$292,800.00
Cash Flow year 2, \$	\$416,000.00
Cash Flow year 3, \$	\$499,200.00
Cash Flow year 4, \$	\$582,400.00
Cash Flow year 5, \$	\$665,600.00

Table 8. Decision for both options

Information	Handling Agent (Ms. Harrison)	New Office (Mr. Blackthorn)
Investment, \$		
Cash Flow year 1, \$		
Cash Flow year 2, \$		
Cash Flow year 3, \$		
Cash Flow year 4, \$		
Cash Flow year 5, \$		
Interest Rate, %		
Net Present Value (NPV), \$		
Internal Rate of Return (IRR), %		
Decision (Accept/Reject)		